

Ifo signals Germany is gaining traction

- Germany's ifo business climate index rose moderately for a second month in June, as both its subcomponents improved, although the only modest rise in expectations underscores that firms remain cautious on a lasting easing of the Middle East conflict.
- Today's figures reinforce our view that the economy is bottoming out and entering Q3 on a firmer footing, supporting our expectation of stronger GDP growth in the second half of the year.

Germany's ifo business climate index rose to 85.6 in June from 84.9 in May, building on the first signs of a bottoming out seen last month. The gain was driven by improvements in both current conditions (+0.9pts) and expectations (+0.3pts). Expectations nonetheless stayed below current conditions for a third consecutive month after the outbreak of the Iran war, suggesting firms remain wary of the geopolitical backdrop despite the signing of the peace treaty.

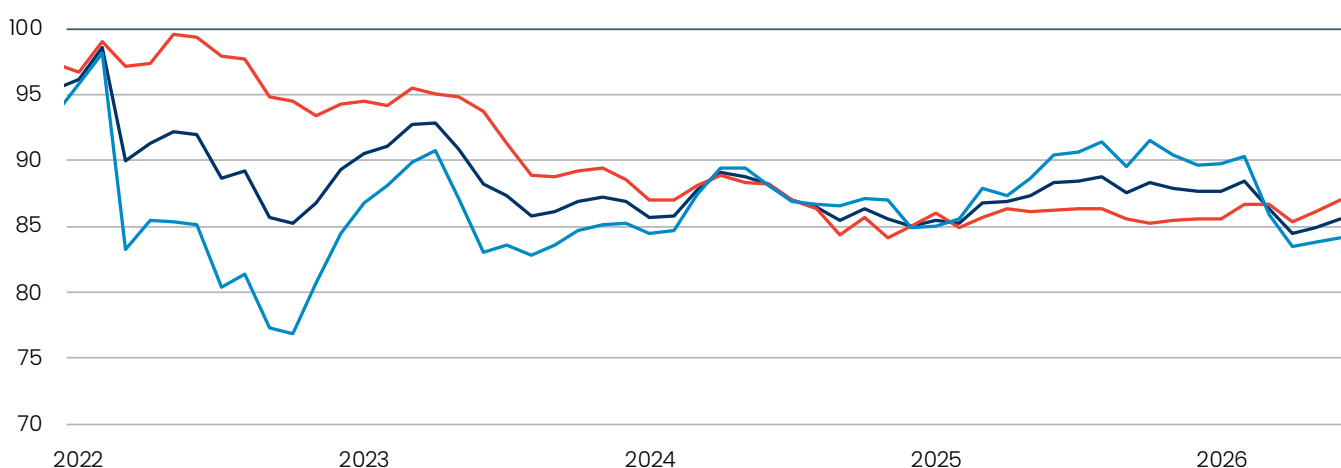
The improvement was broad-based across sectors. In manufacturing and construction, the climate rose on brighter expectations, even as current-situation assessments held flat to slightly weaker and order books stayed thin. Services and retail also improved, with firms notably more satisfied with current business, while transport and logistics extended its recovery. Tourism remained the clear laggard, and sentiment overall stayed cautious.

While we expect German GDP to contract slightly in Q2, via weak private consumption, today's figure supports the idea that the German economy is entering Q3 on a firmer footing ([Chart 1](#)). Ifo (as well as [other surveys](#)) is sending signs somewhat contradicting [PMIs](#), which both in May and June were suggesting some further deterioration for the German economy. This mixed evidence suggest uncertainty is still elevated, but we maintain our view that the economy is bottoming out and set to gain strength gradually in the second half of the year.

Chart 1: Ifo signals Germany is entering Q3 on a more solid footing

Germany: Ifo business surveys

Index (2015 = 100) — ifo business climate — ifo business situation — ifo business expectations



Sources: Oxford Economics, Haver Analytics